Subject: RE: FedEx Authority
Date: Friday, April 4, 2025 at 9:30:14 AM Central Daylight Time
From: Haran, Richard
To: Hoopes, Jackson
Attachments: image001.png, image002.png, image003.png, image004.png, image005.png, image006.png, image007.png, image008.png, image009.png, image010.png, image011.png, image012.png, image013.png

I support.

Is this layer at 100% ILF? Based on the below (and proposed attachment) it would seem it would almost have to be.

Richard W. Haran Jr.
Vice President
Liberty Mutual Insurance | Ironshore
28 Liberty Street, 5th Floor
New York, NY 10005
Direct: 347-421-0365
richard.haran@Libertymutual.com

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Friday, April 4, 2025 10:26 AM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: FedEx Authority

No activist investor for the spin, correct. Spin is supposed to be completed by June 2026 and it is expected to qualify for a tax-free spin.

Jackson

Jackson Hoopes
Liberty Mutual Insurance

From: Haran, Richard <Richard.Haran@LibertyMutual.com>
Sent: Friday, April 4, 2025 10:21 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Subject: RE: FedEx Authority

There's no activist investor involved in the potential spinoff, correct? Any timeline on the spin? Would it be tax free?

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From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Friday, April 4, 2025 10:18 AM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: FedEx Authority

Analysts believe the spinoff could unlock up to $20 billion in shareholder value, while clearing the way for FedEx management to zero in on merging operations of its separate Express and Ground units to boost profits. This is also something FedEx noted during the meeting. FedEx Freight assets were reportedly not fully appreciated within FedEx and that spinning off the trucking business as a publicly-held entity will provide an opportunity to expand and improve its operations.

The USPS contract expiration is worth $500M, a sizable number. This is a headwind for FedEx for sure, another big reason FedEx implemented DRIVE as early as possible. With the focus on Ground and Express and the increase in pricing, FedEx hopes to try to make up for the lost business while also remaining focused on the consumer to ensure retention even through economic uncertainty.

Jackson

Jackson Hoopes
Liberty Mutual Insurance

From: Haran, Richard <Richard.Haran@LibertyMutual.com>
Sent: Friday, April 4, 2025 10:02 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>

Subject: RE: FedEx Authority

Jackson,

Good morning.

As you point out they face headwinds due to the weakness in the industrial economy, global trade policies / tariffs and the loss of the USPS business. DRIVE should reduce costs but does present execution risk. Can you provide additional insight into the FedEx Freight Spinoff (how large is this) and the impact of the USPS lost business?

Thanks

Rick

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From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Friday, April 4, 2025 8:17 AM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: FedEx Authority

Hi Rick,

I'm working on a possible new business opportunity with Allison Carr at Marsh NY for FedEx. There have been some replacements on the program and there is an opening in the quota share for a $5M portion of the $25M excess of $200M for $6,400/mil. This seems like a strong one that I know we've been aiming to get a shot at for a long time with a heavy relationship with LM on other lines. While this isn't the attachment or the premium we are wanting, I think this is a good time to get in a program that is historically extremely tight.

ABC
$5M p/o $25,000,000 xs $200,000,000 for ~$32,000
STM: 125%

Program I have so far.

Layer	Insurer	Limit ($M)	x	Attachment	2025-26 Annualized Premium	Long Term Premium 5/15/25-6/1/26
0	Chubb	$25	x	**$15**	$1,042,184	$1,091,167
1	Berkshire	$15	x	$25	$426,560	$446,427
2	HCC	$15	x	$40	$319,965	$335,003
3	Travelers	$15	x	$55	$244,225	$255,600
4	Zurich	$15	x	$70	$199,041	$208,312
5	**Beazley (replace Markel)**	$15	x	$85	$161,500	$169,043
6	AIG	$15	x	$100	$140,700	$147,547
7	C.N.A.	$15	x	$115	$123,170	$128,959
8	Axis US	$10	x	$130	$75,150	$78,682
9	Starr	$10		$140	$71,685	$75,054

Rating Considerations		
Commision	0.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	15,000,000	

		Layer Information						US SCA Frequency	
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate
USD 25m xs 200m	15,000,000	200,000,000	25,000,000	20%	ABC	32,000	Indication	2.4%	55.0%
Custom layer	15,000,000								
Custom layer	15,000,000								
Custom layer	15,000,000								
Custom layer	15,000,000								

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

FedEx eff 5/15
Broker: Allison Carr, Marsh NY
No CE

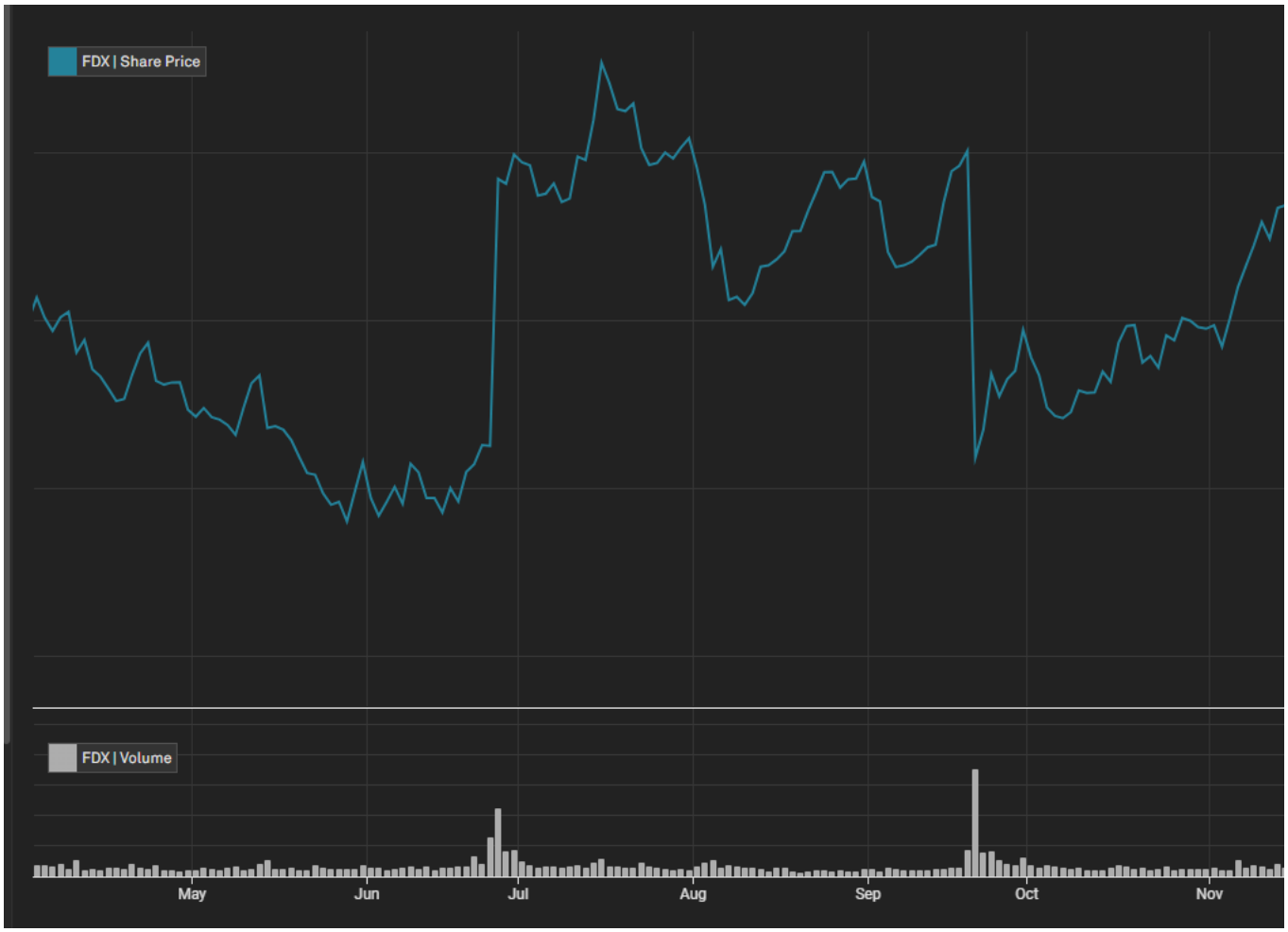
Account Name Search Results for **FEDEX CORPORATION (LM-9-424790)** as of **2/28/2025**

Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product	Month, Day, Year of Exp Date	Policy Number	Underwriter
Grand Total								
FEDEX CORPORATION (LM-9-424790) <Transportation By Air; Air Courier Services>	MARSH USA INC., NASHVILLE, TN	FEDEX CORPORATION (SUR-195060321) MEMPHIS, TN	Surety	Commercial	Surety > Surety (SURETY)	Null	Null	BRISSEY, LISA
	AON RISK SERVICES, MELBOURNE, VIC	FEDEX EXPRESS AUSTRALIA PTY LTD (TNTA0007) SYDNEY, NSW	LSM Asia Pacific	LSM Asia Pacific	LSM Asia Pacific > WORKERS' COMPENSATION (APAC)	July 1, 2025	ADCAS24466375	HILL, GRAHAM
	BOWRING MARSH BERMUDA LTD, CITY OF HAMILTON, ?	FEDEX CORPORATION (FEDE1236) MEMPHIS, TN	Specialty	Bermuda Financial Lines & Special Risk	Bermuda Agency > Cyber (IS CYBER)	May 15, 2025	LSMAFL414194A01	SMITH, TIA
				Bermuda Property & Energy	Bermuda Agency > Property (IS PROP)	December 1, 2025	LSMAPR457038A01	DIEL, MEGHAN
	MARSH USA INC., NEW YORK, NY	FEDEX CORPORATION (FEDE0383) MEMPHIS, TN	Specialty	Cyber	Professional Liability > E&O - Data Insure (IS CYBER)	May 15, 2025	EO5NAB9LZF004	BREWER, ANDREW
					Professional Liability > E&O - Tech Insure (IS CYBER)	December 1, 2025	EO5SFABWOY5006	HARDEN, TYLER
	CARPENTER BOWRING MARSH FAC BRASIL CORRETORA DE RE, SÃO PAULO, SP	FEDEX BRASIL LOGISTICA E TRANSPORTE LTDA (FEDE1024) ,	LSM LATAM	LSM LATAM	LSM Latin America > MARINE GENERAL CARGO(WITH R/I) (LAT..	November 30, 2025	B1AB9MBC002-3	CARDOSO, DEBORA
		FEDEX BRASIL LOGISTICA E TRANSPORTE SA (FEDE0665) RECI..	LSM LATAM	LSM LATAM	LSM Latin America > MARINE GENERAL CARGO(WITH R/I) (LAT..	November 30, 2025	B1AB9OC7002-3	CARDOSO, DEBORA
	MARSH LTD, LONDON, ?	FEDEX CORPORATION (428808) ,	LSM Europe	LSM Europe	OPEN MARKET - DIRECT PRIMARY > Terrorism - UK and Ireland (LSM)	November 30, 2025	547134/01/24/WK	COOK, HOLLIE
							547134/02/24/WK	COOK, HOLLIE
	LBS BROKER, ?, ?	FEDEX CORPORATION (540825) ,	LSM Europe	LSM Europe	OPEN MARKET - DIRECT PRIMARY > Terrorism - UK and Ireland (LSM)	November 30, 2025	547134/03/24/WK	COOK, HOLLIE
							547134/04/24/WK	COOK, HOLLIE
	AON UK LIMITED, LONDON, ?	FEDEX CORPORATION (3920974) ,	LSM Europe	LSM Europe	OPEN MARKET - DIRECT PRIMARY > Aviation - UK and Ireland (LSM)	June 30, 2025	230115/02/24/1T	SMITH, MATTHEW
					OPEN MARKET - DIRECT X/X LAYER > Aviation - UK and Ireland (..	June 30, 2025	230115/01/24/1T	SMITH, MATTHEW

Summary:
FedEx Corporation, together with its subsidiaries, provides transportation, e-commerce, and business services in the United States and internationally. It operates through FedEx Express, FedEx Ground, FedEx Freight, and FedEx Services segments. The FedEx Express segment offers express transportation, small-package ground delivery, and freight transportation services; and time-critical transportation services. The FedEx Ground segment provides small-package ground delivery services. The FedEx Freight segment offers less-than-truckload freight transportation services. The FedEx Services segment provides sales, marketing, information technology, communications, customer service, technical support, billing and collection, and back-office support services. In addition, the company offers supply chain management solutions; and air and ocean freight forwarding and cargo transportation, specialty transportation, customs brokerage, third party logistics and supply chain, and document and business solutions, as well as provides trade management tools and data.

Stock performance:
Price: $219 (down 20% YTD and 21% YoY)
Mkt Cap: $52.75B
Beta: .91, Float shorted: 1.41%

Apart from today's (4/3) tariff turmoil and drop, there was one 15% drop in the past 12 months for FedEx in September of 2024, this is likely due to the company reporting lower-than-expected quarterly results and taking down it's FY 2024 forecast. The stock had recovered since then until recent market uncertainty.


FDX | Share Price
FDX | Volume
May
Jun
Jul
Aug
Sep
Oct
Nov

Financials

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	5/31/2023	5/31/2024		2/28/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$7,158	$6,861	-4%	$5,207
Current Assets	$18,610	$18,207	-2%	$17,214
Total Assets	$87,143	$87,007	0%	$85,043
Current Liabilities	$13,586	$13,355	-2%	$13,896
Long Term Debt	$19,728	$19,722	0%	$18,981
Working Capital	$5,024	$4,852	-3%	$3,318
Income Statement				
Revenues	$90,155	$87,693	-3%	$22,160
Operating Income	$6,427	$6,963	8%	$1,521
Net Income	$3,972	$4,331	9%	$909
Gross Margins (%)	$27	$27	1%	$26
Cash Flow Statement				
Operating Cash Flow	$8,848	$8,312	-6%	$2,012

FedEx Corporation

Dollars in millions, except EPS	Q3 FY25 Operating Income	Q3 FY25 Operating Margin	Q3 FY25 Income Taxes[1]	Q3 FY25 Net Income[2]	Q3 FY25 Diluted Earnings Per Share	Q3 FY24 Operating Income	Q3 FY24 Operating Margin	Q3 FY24 Income Taxes[1]	Q3 FY24 Net Income[2]	Q3 FY24 Diluted Earnings Per Share
GAAP measure	$ 1,292	5.8%	$ 272	$ 909	$ 3.76	$ 1,243	5.7%	$ 304	$ 879	$ 3.51
Business optimization costs[3]	179	0.8%	42	137	0.56	114	0.5%	27	87	0.35
International regulatory and legacy FedEx Ground legal matters[4]	38	0.2%	9	29	0.12	—	—	—	—	—
FedEx Freight spin-off costs[5]	5	0.0%	5	17	0.07	—	—	—	—	—
Non-GAAP measure	$ 1,514	6.8%	$ 328	$ 1,092	$ 4.51	$ 1,357	6.2%	$ 331	$ 966	$ 3.86

Federal Express Segment

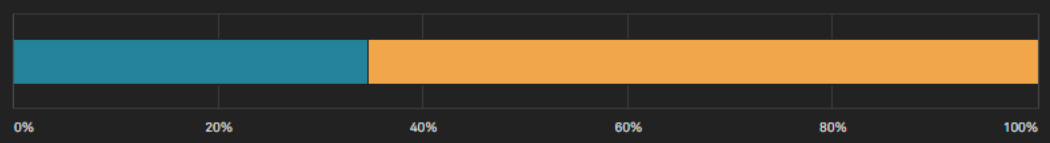
Dollars in millions, except EPS	Q3 FY25 Operating Income	Q3 FY25 Operating Margin	Q3 FY24 Operating Income	Q3 FY24 Operating Margin
GAAP measure	$ 1,294	6.7%	$ 1,173	6.3%
Business optimization costs	92	0.5%	45	0.2%
International regulatory and legacy FedEx Ground legal matters	38	0.2%	—	—
Non-GAAP measure	$ 1,424	7.4%	$ 1,218	6.5%

M&A

- FedEx Dataworks completed the acquisition of RouteSmart Technologies from Bowne AE&T Group in February 2025
- FedEx is in the process of spinning off FedEx Freight. This is to create flexibility between the two companies while also being a tax efficient spin.

BOD/Ownership

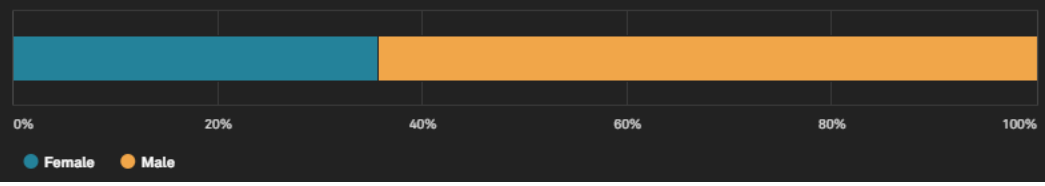
Top Executives | Board Of Directors



Top Executives

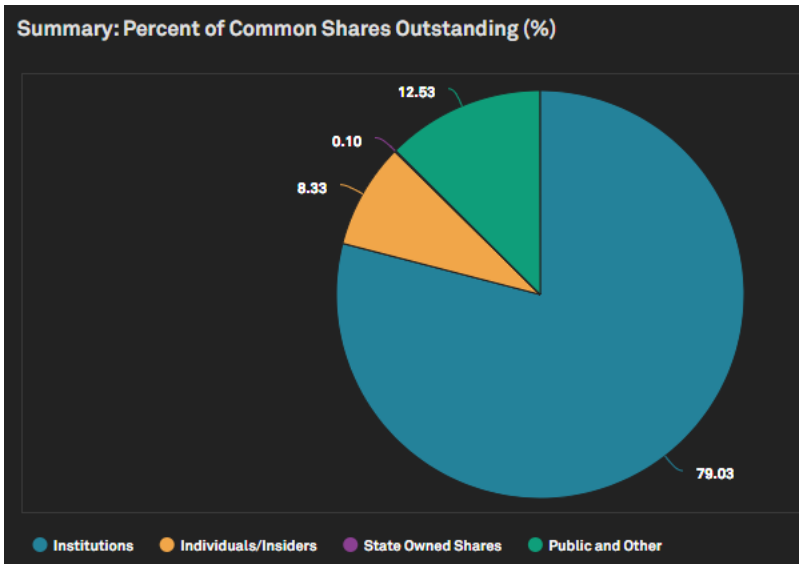
NAME	TITLE	STATUS	AGE	GENDER	BIOGRAPHY
Rajesh Subramaniam	President, CEO & Director	Current	59	Male	Mr. Rajesh S since Janua All
Frederick W. Smith	Founder & Executive Chairman	Current	80	Male	Mr. Frederic Corporation View All
John W. Dietrich	Executive VP & CFO	Current	60	Male	Mr. John W. Bank from J
Guy M. Erwin II	Corporate VP, Staff VP, Corporate Controller & Chief Accounting Officer	Current	48	Male	Mr. Guy M. E Accounting
Sriram Krishnasamy	Executive VP, Chief Digital & Information Officer and Chief Transformation Officer	Current	52	Male	Mr. Sriram K as its Chief
Gina F. Adams	Executive VP, General Counsel & Secretary	Current	66	Female	Ms. Gina F. A Secretary at All
Karen Blanks Ellis	Chief Sustainability Officer	Current	NA	Female	Ms. Karen B Strategic En
Tracy B. Brightman	Executive VP & Chief People Officer	Current	61	Female	Ms. Tracy B. Executive VP All
Jenifer Hollander	Vice President of Investor Relations	Current	NA	Female	Ms. Jenifer Strategy & C All
Brie A. Carere	Executive VP & Chief Customer Officer	Current	46	Female	Ms. Brie A. C Chief Custo
Average			59		

Top Executives | Board Of Directors



NAME	ROLE	INDEPENDENT DIRECTOR?	STATUS	AGE	GENDER	BEGIN YEAR
Frederick W. Smith	Chairman of the Board	No	Current	80	Male	1998
R. Brad Martin	Vice Chairman of the Board	Yes	Current	72	Male	2022
David P. Steiner	Lead Director	Yes	Current	64	Male	NA
Marvin R. Ellison	Board Director/Trustee	Yes	Current	60	Male	2014
Stephen E. "Steve" Gorman	Board Director/Trustee	Yes	Current	69	Male	2022
Susan Patricia Griffith	Board Director/Trustee	Yes	Current	60	Female	2018
Silvia Lucia Davila Kreimerman	Board Director/Trustee	Yes	Current	54	Female	2023
Amy B. Lane	Board Director/Trustee	Yes	Current	72	Female	2022
Nancy Ann Norton	Board Director/Trustee	Yes	Current	59	Female	2022
Frederick P. Perpall	Board Director/Trustee	Yes	Current	50	Male	2021
Joshua Cooper Ramo	Board Director/Trustee	Yes	Current	56	Male	2011
Susan C. Schwab	Board Director/Trustee	Yes	Current	69	Female	2009
Rajesh Subramaniam	Board Director/Trustee	No	Current	59	Male	2020
Paul Steven Walsh	Board Director/Trustee	Yes	Current	69	Male	1996
Average				64		

All independent directors apart from CEO as well as the Founder



No meaningful investors of note except for founder and 8% shareholder, Frederick Smith

Claims :

- TBD on loss runs

Commentary

Uncertainty, along with the rest of the market, has been plaguing FedEx with where their revenues and profit is going to go. However, in spite of this, FedEx grew revenue from Q3 YoY for the first time in fiscal 2025 (2% YoY) and adjusted operating income up 12% YoY. Outlook for Q4 and FY 2025 remains conservative with revenue looking flat to slightly down as well as EPS.

The big development for FedEx these past few months and into the future is the DRIVE initiative. Because FedEx sees continued headwinds with the weakness of the industrial economy and uncertain global trade relationships (exacerbated by the 4/3/2025 tariffs implemented by the Trump administration), the company sees a near immediate strategy to contribute savings necessary if they are to continue with strong results. DRIVE has identified nearly $4B in cost savings it looks to deliver until 2026, with $2B more to deliver in '27. In Q2 of FY25, DRIVE saved half a billion and this is expected to continue and ramp up as these savings are passed through the line. To do this they maximized rail utilization, digital tools were able to enhance the airfreight sector and optimized IT and back-office functions. This, along with a steady increase in shipping rates for express, ground, and Freight of about 6% is looking to help FedEx remain strong with long-term profitable growth.

Another development that FedEx has been focused on is the spin-off of the Freight business, with revenue at ~$10B in FY24 and the spin-off valuated at around $30B. This is due to FedEx focus on core Ground and Express services and for the FedEx Corporation to be enhancing these business segments. FedEx does not feel that these have many synergies and as such feel this tax efficient spin-off to be advantageous for the future of FedEx.

FedEx is a strong company in an industry that is facing general headwinds. However, the attachment point (above $200M) and the low limits being a part of the Quota Share ($5M p/o $25M) incline me to say yes to adding this one to our portfolio. We have been chasing FedEx for quite some time now with strong relationships on other lines and I think that, although we will want to move down for more premium in the future, this is the time to get on the program. Thoughts?

DRIVE

Value creation framework through FY25

($B)	Expected FY25 savings*
Surface Network	$1.2
Air Network & International	1.3
G&A	1.5
Total	$4.0

Highlights

- Moving swiftly to execute; measuring from FY23 baseline
- Network 2.0 to unlock $2B of cost savings in FY27
- One FedEx is a key execution enabler with value creation opportunities beyond FY25

Thanks,

Jackson

Jackson Hoopes
Executive Underwriter

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